

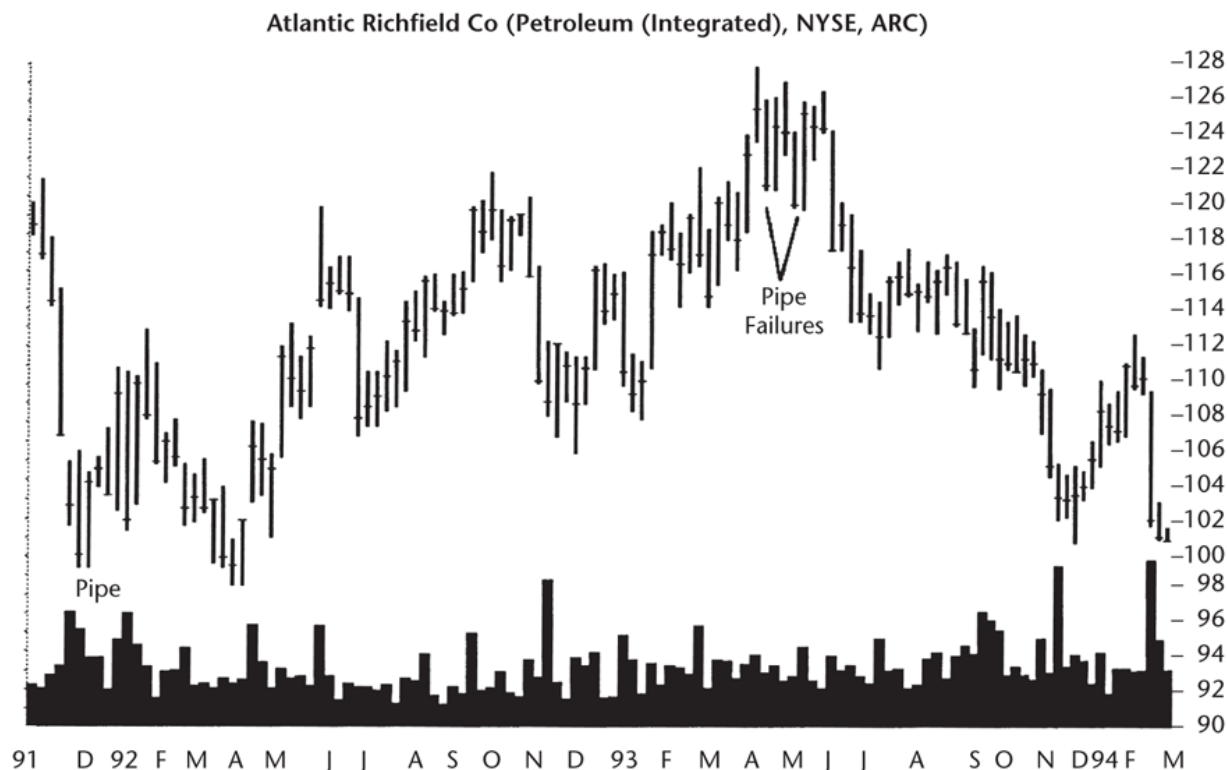


Figure 49.3 Pipe bottom failures (weekly chart). Clues to these two pipe failures are in the spike lengths and volume trend. The best performing pipes form when price is trending down. The two pattern failures are not pipes at all because price does not close above the highest high in each pattern.

Why?

Volume on the left spike of both pipes is below the monthly average. However, the right side shows higher-than-average volume in both pipes. Still, the volume pattern is unconvincing, because it usually appears most brisk at pipe bottoms.

As a contrast, look at the pipe on the far left of the chart. Both spikes show volume that is well above average.

Another clue to the two pipe failures lies buried in the guidelines outlined in [Table 49.1](#). Price should drop unusually far during the 2 weeks, *more than most downward spikes during the year*. As you look at the chart, you can see several downward, 1-week spikes (December and February, for example) that nearly equal the length of the two pipes. The entire chart